SUBJECT: Money 3 DATE: / /

لغاية سؤال 30

money section 3 Notes

* Barter system: exchange goods for goods
  - drawbacks: 1- double coincidence of wants. 4- has many prices.
    2- high transaction cost.
    3- specialization is difficult.

* Note: مفيش barter معناها إن الشخص هـ والي بيختاره بيحتاج الى حاجه اللي specialization

* Note: specialization in barter system ⟶ higher transaction cost.

* No. of prices $= \frac{n \times (n-1)}{2}$ • n ⇒ number of goods.

* Functions of money:
  1- medium of exchange. "accepted in trading goods and services."
  2- store of value.
  3- unit of account.

prosperity ⟶ رخاء وتنوع في السلع والخدمات المستهلكة
⇓
Economic efficiency. كفاءة اقتصادية

قيمة النقود = قوتها الشرائية

* income { spending + saving
  - flow (periodicity)

* wealth = accumulation of saving.
  - stock

EL ZAHRAA